

Table 12: Terms of public sector sub-loans

1.	Facility Type	Public Sector Sub-Loans (Component 2)
2.	Sub-Project Approval Process	- Governance structures will be set up to include the WRP Climate Screening Committee which will assess applications; the committee will include internal (DBSA) and external members. - The committee will utilize criteria and a screening tool to appraise and score applications for their climate change basis, based on the relevant climate change information alongside other drivers of water scarcity, as the first step in the screening process. - Projects which are able to demonstrate that climate change is a significant factor in water scarcity within their domain will proceed to due diligence with the view of funding; projects with insufficient climate change or water demand information will be reviewed for potential project preparation support should the screening tool support this. - Projects that complete the project preparation phase (PP) will be re-evaluated based on the available information to take them to implementation - All proposed sub-projects will first be reviewed and assessed by the WPO Oversight Committee - The Accredited Entity's Investment Committee will have the final decision on the approval of Sub-Projects and will not be bound by the recommendations of the Steercom. - The Accredited Entity will act as the lender of record of the Loans.
3.	Amount	The aggregate amount of the GCF Loan to be on lent by the Accredited Entity for the Public Sector Sub-Loans will be up to one hundred and thirty million Dollars (USD 130,000,000). For any Sub-Project, the committed concessional debt, including from DFIs, shall not exceed the committed senior debt. In instances where DBSA or other Co-financiers will provide credit enhancement into Sub-Projects, the DBSA loan and/or other subordinated loans will rank pari-passu with GCF. The amount of each individual Sub-Loan, at the time of its commitment, shall not exceed the lesser of: - fifteen per cent (15%) of the total Sub-Project cost; and - USD 30 million The credit exposure (loan co-financing ratio) of each investor in the Facility (i.e. GCF, the Accredited Entity and other Co-Financiers) under each individual Loan shall be proportional to the total committed contribution of each investor in the Facility, and such ratio shall be maintained throughout the availability period of the Loans.
4.	Purpose of the facility	Financing of public sector Sub-Projects that meet the Eligibility Criteria of the Programme.
5.	Sub-Borrower	Public Sector Sub-Borrowers that meet the Eligibility Criteria of the Programme.
6.	Lender	DBSA
7.	Currency	ZAR
8.	Repayment Schedule	Quarterly or semi-annually for all reflows during the relevant tenor of the Public Sector Sub-Loan.
9.	Pricing	Pricing shall comply with the principles indicated in item 14(e)(ii) of this Term Sheet and the principle of minimum concessionality.
10.	Tenor	In each Sub-Project, the tenor of the Public Sector Sub-Loan shall not exceed the lesser of: - Twenty (20) years from the effectiveness of the relevant Public Sector Sub-Loan agreement; - The tenor of the Water Purchase Agreement (WPA) provided to the relevant Sub-Project minus a three (3) year tail period and - The remaining tenor of the FAA.
11.	Grace Period	Principal repayment of the Loans will be subject to a maximum grace period of three (3) years, to be decided on case by case basis by the Accredited Entity taking into account the needs of the Sub-Project. For the avoidance of doubt the grace period does not apply for interest payments and fees. Interest repayment of the Loans, to be decided on case by case basis by the Accredited Entity taking into account the needs of the Sub-Project shall not exceed the lesser of: - a maximum grace period of three (3) years, - The Sub-Projects Commercial Operations date

12.	Currency conversions for the disbursement and payment of GCF Tranches	At each disbursement the DBSA will enter into a currency management solution converting the USD received from GCF to ZAR, securing an exchange rate for a particular disbursement to be used for the duration of the facility.
13.	Pre-payment	The Accredited Entity shall decide on any applicable prepayment penalty or fee. Any prepayment penalties or fees charged by the Accredited Entity shall apply proportionally to each co-financed tranche under the Loans.
14.	Security structure	Standard and customary for this type of international project finance transactions of this nature, including but not limited to second ranking security / charge over project assets and sponsor(s) holding in the project, assignment of project contracts, documents and approvals.
15.	Fees	- Commitment fee will be of minimum 0.25% (twenty five basis points) accrued starting from financial close of the relevant Public Sector Sub-Loan, on the undrawn commitment of the relevant Public Sector Sub-Loan, to be payable on each payment date, together with interest rate payment. - Upfront fees, in the amount to be decided by the Accredited Entity, which shall not exceed one per cent 1% of the sub-Loan amount. Additional Fees: In case any additional fees are charged by the Accredited Entity under the Loans, the Accredited Entity shall distribute such payments to each sub-loan tranche (i.e. GCF, the Accredited Entity) proportionally to the amount of their relevant co-financed tranche under the Loans. Upfront fees and any other fees, if any to be shared pro-rata between the DBSA and GCF.
16.	Waterfall provisions	Any cash surplus after meeting all (i) operating and statutory expenses, (ii) senior debt obligations due to LFI, and (iii) debt obligations to the Accredited Entity under the sub-Loans, will be deployed by the Borrowers in the following order of priority: (1) Creation and/or top up of reserve accounts (including but not limited to DSRA, any other reserves as may be applicable); and (2) Cash sweep in the following manner: Pro rata between the debt providers (i.e. LFI and the Accredited Entity, as the lender of record of the Loans) and the Equity Providers in the proportion of the debt: equity ratio of the relevant Sub-Project.
17.	Eligibility criteria	The Accredited Entity shall only approve Sub-Projects that comply with the Eligibility Criteria.
18.	Structuring criteria	The structuring criteria for each sub-project shall include customary requirements for international project finance transactions or balance sheet lending transactions Total Borrower debt (i.e. senior and subordinated) to be sized based on the following considerations: (a) The amount that results in a minimum Total Debt Service Coverage Ratio ("TDSCR") (in relation to total senior and subordinated debt) of 1.20x-1.25 x for all Borrowers, provided that: (i) A minimum DSRA of six (6) to nine (9) months of total debt service for the Loan until twenty-five per cent (25%) of the relevant outstanding amount of the total debt is repaid at which point the DSRA requirement may reduce to a minimum of six (6) months debt service (for the residual life of the relevant Loan) depending on the prevailing financial and economic outlook of the Sub-Project at that point in time. (b) Other appropriate requirements will be added by the Accredited Entity at the due diligence stage of each Sub-Project, including among others appropriate level of contingencies to cover for delay and cost overruns risk.
19.	Equity & equity support	Minimum equity of twenty per cent (20%) of total Sub-Project costs contributed by the relevant Equity Provider(s) in the form of base equity at the Sub-Project level. The base equity will be either: (i) fully contributed upfront to the Sub-Project as a condition precedent to the first disbursement under the relevant Loan; or (ii) contributed pro-rata with disbursements under the relevant Loan, subject to the balance supported by the provision of a Letter of Credit from a financial institution acceptable to the Accredited Entity. Such letter of credit shall be without recourse to Sub-Project's assets In addition to the base equity, on a case-by-case basis the Accredited Entity may assess the need to have contingent equity commitments from the Equity Provider(s) to cover construction and/or operational risks.

20.	Share retention	The participating private sector investors and/or participating Municipality will together, directly or indirectly, maintain ownership of one hundred percent (100%) of all equity interests in the Sub-Project, till the completion of construction phase of the Sub-Project, it being agreed that private sector investors shall in no case hold 50% or more of the equity in the Sub-Project. The Accredited Entity shall ensure appropriate provisions are in place such that participating private sector investors and /or participating Municipality retain their economic interest in the Sub-Project for a reasonable period of time, compulsorily covering the operations stabilisation period. Any sale of the economic interest by the participating private sector investors and/or participating Municipality be subject to a prior written approval of the Accredited Entity and shall be to such a party which is acceptable to the Accredited Entity and subject to satisfactory KYC, AML, CFT and any appropriate checks. For the avoidance of doubt, sale of economic interest by a participating private sector investor, shall only be permitted with the prior written approval of the Accredited Entity.
21.	Restricted payments	The Accredited Entity shall include restricted payment provisions in financing agreements and such provisions shall be exercised in a manner which is not prejudicial to the interests of the Accredited Entity (as lender of record of the Sub-Loan). No dividends, bonuses or extraordinary compensation shall be permitted to be declared or paid unless the following conditions have been complied with (Restricted Payment Conditions): (i) the construction phase completion has occurred; (ii) the twelve-month historical and forward Sub-Project DSCR are not less than 1.25x; (iii) DSRA and other reserve accounts filled in as stipulated; (iv) the first two scheduled principal repayments of GCF Loans have been made according to the financing documents; (v) no event of default or of non-compliance has occurred and is continuing under any agreements; (vi) any other conditions to be added based on the specific structure of each Sub-Project; and (vii) the payment is in line with the cash sweep provisions under item 16.
22.	Pre-execution conditions	The Accredited Entity shall include pre-execution conditions in financing agreements and such provisions shall be exercised in a manner which is not prejudicial to the interests of the Accredited Entity (as lender of record of the GCF Loan). Prior to or at the time of execution of loan documentation for a Sub-Project, all the required debt shall be fully and legally committed to the Sub-Project.
23.	Pre-disbursement conditions	The Accredited Entity shall include pre-disbursement conditions in financing agreements and such provisions shall be exercised in a manner which is not prejudicial to the interests of the Accredited Entity (as lender of record of the GCF Loan). Disbursement of the Public Sector Sub-Loans will be conditioned upon the Sub-Project(s) complying with customary conditions precedent, including among others: (i) contribution of equity as per the sponsors' equity contribution provisions; (ii) payment of all fees and expenses due; (iii) execution and delivery of all financing documents and legal opinions; (iv) receipt of lenders' advisor reports (environmental, engineering, insurance, etc.), as applicable; (v) all Sub-Project documents, implementation agreement(s), water purchase agreement(s), distribution contracts and arrangements, insurance contracts and hedging contracts are in full force and effect; (vi) the required security for the lenders to have been created and perfected where possible; (vii) receipt of all material permits, licenses and government approvals related to the construction of the Sub-Project in a final and non-appealable form; (viii) no material adverse change; (ix) no event of default / potential event of default; (x) receipt of organizational documents and officer's certificates; (xi) schedule of permits required for construction and operation of the Sub-Project including but not limited to land rights, environmental permits, governmental and statutory approvals, as deemed necessary by the Accredited Entity; (xii) satisfactory Sub-Project budget and Sub-Project schedule; and (xiii) Creation of reserve accounts, as applicable.
24.	Other financing tranches	The Accredited Entity will engage with the other financial institutions, including but not limited to multilateral development banks, development finance institutions and LFI to secure financing for any co-financing gap. Such financing - may rank senior to the Public Sector Sub-Loan in terms of security. Such financing may be provided in local currency.

25.	Currency Risk	Currency risk shall be managed inline with section 2b(1), 1(d)(ii) and 16 of this term sheet
26.	Insurance	The Accredited Entity shall include insurance conditions (project insurance against loss, damage and liability in a manner and with insurers satisfactory to the Accredited Entity during the tenor of the Public Sector Sub-Loan) in financing agreements and such provisions shall be exercised in a manner which is not prejudicial to the interests of the Accredited Entity (as lender of record of the Sub-Loan). The Sub-Projects shall maintain project insurance against loss, damage and liability in a manner and with insurers satisfactory to the Accredited Entity during the tenor of the Public Sector Sub-Loan, ensuring that all the lenders are beneficiaries of any loss proceeds under the insurance.
27.	Other terms	Other requirements customary for international project finance transactions to be added during the due diligence stage taking into account the characteristics of the contractual framework.
28.	Subordination of payments	The GCF Tranche shall rank <i>pari passu</i> with the DBSA Tranche and/or the lenders providing subordinated loans' tranche, if any, in all respects, including the same repayment schedule.
29.	Treatment of losses	To the extent losses occur in excess of reserve (i.e. the Debt Service Reserve Account ("DSRA"), Maintenance Reserve Account (where applicable) and any other reserves as may be applicable), those losses will be allocated to all Facility investors (i.e. GCF, the Accredited Entity and, if any, other Co-Financiers) proportionally to the relevant investor's tranche in the Loans.
30.	Reserve Accounts	The Debt Service Reserve Account "DSRA" to cover at least 6 months of total debt service for loan, Maintenance Reserve Account (where applicable), to cover operation and maintenance costs of the Sub-Project.
31.	Payment of Interest Frequency	Interest over the outstanding amount under the Loans shall begin to accrue as of the date of first disbursement under the relevant Loan and shall be payable on semi-annually, quarterly or monthly basis.
32.	Taxation	The Accredited Entity shall include gross-up clauses or other equivalent provisions in the relevant legal agreements for the Loans, so that it receives the full amount of Reflowed Funds under the GCF Tranches clear and net of any applicable Taxes.

The terms of the private sector sub-loans shall comply with the following provisions given in Table 13.

Table 13: Terms of public sector sub-loans

1.	Facility Type	Private Sector Sub-Loans (Component 2)
2.	Sub-project Approval Process	- Governance structures will be set up to include the WRP Climate Screening Committee which will assess applications; the committee will include internal (DBSA) and external members. - The committee will utilize criteria and a screening tool to appraise and score applications for their climate change basis, based on the relevant climate change information alongside other drivers of water scarcity, as the first step in the screening process. - Projects which are able to demonstrate that climate change is a significant factor in water scarcity within their domain will proceed to due diligence with the view of funding; projects with insufficient climate change or water demand information will be reviewed for potential project preparation support should the screening tool support this. - Projects that complete the project preparation phase (PP) will be re-evaluated based on the available information to take them to implementation - All proposed sub-projects will first be reviewed and assessed by the WPO Oversight Committee - The Accredited Entity's Investment Committee will have the final decision on the approval of Sub-Projects and will not be bound by the recommendations of the Steercom. - The Accredited Entity will act as the lender of record of the Loans.
3.	Amount	The aggregate amount of the GCF Loan to be on lent by the Borrower for the Private Sector Sub-Loans will be up to seventy million Dollars (USD 70,000,000). For any Sub-Project, the committed concessional debt, including from DFIs, shall not exceed the committed senior debt. In instances where DBSA or other Co-financiers will provide credit enhancement (through first loss/subordinated loan, tenor extension) into private sector Sub-Projects, the DBSA loan and/or other subordinated loans will rank <i>pari-passu</i> with GCF. The amount of each individual Sub-Loan, at the time of its commitment, shall not exceed the lessor of: (1) fifteen per cent (15%) of the total Sub-Project cost; (2) USD 30 million